Kestrel Pay Ltd: Board of Directors

Meeting on Wednesday 22 July 2026, 10:00 to 14:00, Boardroom, 12 Harrow Yard, London EC2A 4PN

Pack issued on 15 July 2026 by Helen Marsh, Company Secretary. Confidential to directors and those in attendance.

Directors: Margaret Holloway (Chair), Amara Okafor (Chief Executive Officer), Daniel Reyes (Chief Financial Officer), Dev Anand (investor director, Fernhill Ventures), Claire Beaumont (independent non-executive director, chair of the Audit and Risk Committee).

In attendance: Priya Nair (Chief Technology Officer), Helen Marsh (General Counsel and Company Secretary), Sofia Lindqvist (Compliance Officer, item 6 only).

Agenda

Item	Time	Paper	Subject	Lead	For
1	10:00	-	Welcome, apologies, declarations of interest	Chair	Note
2	10:05	B26/07/01	Minutes of 22 April 2026 and action log	Chair	Approve
3	10:15	B26/07/02	CEO report	Amara Okafor	Discuss
4	10:45	B26/07/03	Q2 2026 results and FY2026 forecast	Daniel Reyes	Discuss
5	11:30	B26/07/04	Project Heron: non-binding offer and exclusivity	Daniel Reyes, Helen Marsh	Approve
6	12:30	B26/07/05	Risk and compliance report, Q2 2026	Sofia Lindqvist	Note
7	13:00	B26/07/06	Dublin office lease	Daniel Reyes	Approve
8	13:20	B26/07/07	FY2027 planning timetable	Daniel Reyes	Note
9	13:45	-	Any other business; dates of next meetings	Chair	Note

Action log from 22 April 2026

Ref	Action	Owner	Due	Status
A26/04/1	Bring the Lumen Ledger evaluation to the July board	Daniel Reyes	22 July 2026	Done (item 5)
A26/04/2	Present a recovery plan for the EDD review backlog	Sofia Lindqvist	22 July 2026	Done (item 6)
A26/04/3	Options for a Dublin office with room for at least 100	Daniel Reyes	22 July 2026	Done (item 7)
A26/04/4	Payouts pricing review	Amara Okafor	20 October 2026	Open

Item 3: CEO report (B26/07/02)

- **Merchants.** 48,210 merchant customers at 30 June, up 1,330 in the quarter (46,880 at 31 March) and up 13.3% on a year ago (42,540).
- **Products.** EUR balances in Kestrel Accounts, open to UK merchants since 12 January, were used by 2,140 merchants by 30 June. Payouts is the fastest-growing product, though two payroll bureaus moved their go-live from May to 1 September. That cost about £0.4m of Q2 revenue against budget, half of it made up by other Payouts customers.
- **People.** Headcount was 589 at 30 June against a plan of 598. Engineering hiring in Lisbon is behind by six roles.
- **Incidents.** No P1 incidents in the quarter, so nothing was reportable to the FCA. A card-testing attack on Checkout in April added £180k of chargeback losses before new rules stopped it.
- **Priorities for H2.** Payouts bureau go-lives on 1 September, the Dublin move, clearing the EDD backlog, and Project Heron if the board approves item 5.

Item 4: Q2 2026 results and FY2026 forecast (B26/07/03)

Table 1: Q2 2026 income summary, £000

Line	Q2 2026	Q2 budget	Variance	Q2 2025
Revenue	39,486	39,700	(214)	33,891
Gross profit	22,665	22,950	(285)	18,911
Gross margin	57.4%	57.8%	(0.4) pts	55.8%
Operating costs	(20,830)	(20,900)	70	(18,450)
EBITDA	1,835	2,050	(215)	461
EBITDA margin	4.6%	5.2%	(0.6) pts	1.4%

Table 2: Q2 2026 revenue by product, £000

Product	Q2 2026	Q2 budget	Variance
Kestrel Checkout	21,874	21,820	54
Kestrel Accounts	9,812	9,880	(68)
Kestrel Payouts	7,800	8,000	(200)
Total	39,486	39,700	(214)

Table 3: first half, £000

Line	H1 2026	H1 budget	Variance	H1 2025
Revenue	77,098	77,500	(402)	65,995
EBITDA	3,255	3,740	(485)	741

Revenue was 16.5% up on Q2 2025 and £214k (0.5%) below budget. Checkout was slightly ahead; Payouts was £200k behind because of the bureau delay. Gross margin was 0.4 points below budget, mostly the April card-testing losses. Operating costs were £70k under budget because hiring is behind plan.

Key measures at 30 June 2026: Checkout payment volume £4.76bn in the quarter; Payouts volume £1.76bn; 30,600 business accounts open; customer funds safeguarded £1.24bn; Kestrel's own cash £71.3m.

FY2026 forecast: revenue £161.4m (budget £162.0m), EBITDA £8.1m (budget £8.6m), year-end headcount 632 (budget 640).

Item 5: Project Heron (B26/07/04)

Project Heron is the proposed acquisition of Lumen Ledger, Lda, a Lisbon bookkeeping and invoicing software company with about €9m of ARR and 6,000 SME customers in Portugal and Spain. The mutual NDA was signed on 10 June (KPC-2026-0298). The full evaluation paper is in the reading room.

Proposal. Management asks the board to approve:

1. a non-binding indicative offer for 100% of Lumen Ledger, Lda at an enterprise value of £86m, cash-free and debt-free, with part of the price in Kestrel shares and an earn-out;
2. exclusivity with the sellers until 30 November 2026;
3. a due diligence budget of up to £650k, with Carrow Finch LLP (UK legal), Almeida Reis & Associados (Portuguese legal) and Hartwell Moss LLP (financial and tax).

If approved, the offer letter goes on 24 July. Due diligence would finish in mid-September and a final recommendation would come to the board on 20 October 2026.

Confidentiality. This item is restricted to the board and the exec team. Helen Marsh holds the insider list.

Item 6: Risk and compliance, Q2 2026 (B26/07/05)

Summary of the Q2 compliance monitoring report, which the Audit and Risk Committee will review on 16 July:

Area	Rating	Note
Safeguarding	Green	Every daily reconciliation on time and no shortfalls; the Q1 breach (12 March) is closed
Financial crime	Amber	146 enhanced due diligence reviews overdue at 30 June; three contractors start on 1 July; target under 50 by 30 September
Complaints	Green	432 complaints; 96.8% resolved within 15 business days; 11 referred to the Financial Ombudsman
Data protection	Amber	One misdirected merchant statement; not reportable to the ICO
Other areas	Green	Financial promotions, operational resilience (no P1 incidents) and regulatory reporting

Item 7: Dublin office lease (B26/07/06)

Kestrel Pay Europe Ltd asks for approval to take a 10-year lease of the 2nd floor, Block C, Harcourt Quay, Dublin 2, from 1 September 2026. Rent is €640,000 a year, with 9 months rent-free and a tenant break at year 5 (31 August 2031). The floor holds 110 desks; Dublin headcount is 73 today. Fit-out budget is €410,000 and move-in is planned for December. Board approval is needed because the lease runs for more than five years.

Item 8: FY2027 planning timetable (B26/07/07)

Date	Step
7 September 2026	Templates to budget holders
2 October 2026	Budget holder submissions due
4 November 2026	First draft to the exec team
9 December 2026	FY2027 budget to the board for approval

Resolutions proposed

1. The minutes of the meeting of 22 April 2026 are approved.

2. The board approves the submission of a non-binding offer for Lumen Ledger, Lda at an enterprise value of £86m, exclusivity to 30 November 2026, and a due diligence budget of £650k.
3. The board approves the lease of the 2nd floor, Block C, Harcourt Quay, Dublin 2, by Kestrel Pay Europe Ltd on the terms in paper B26/07/06.

Next meetings: Tuesday 20 October 2026 (Q3 results and the Project Heron decision) and Wednesday 9 December 2026 (FY2027 budget).